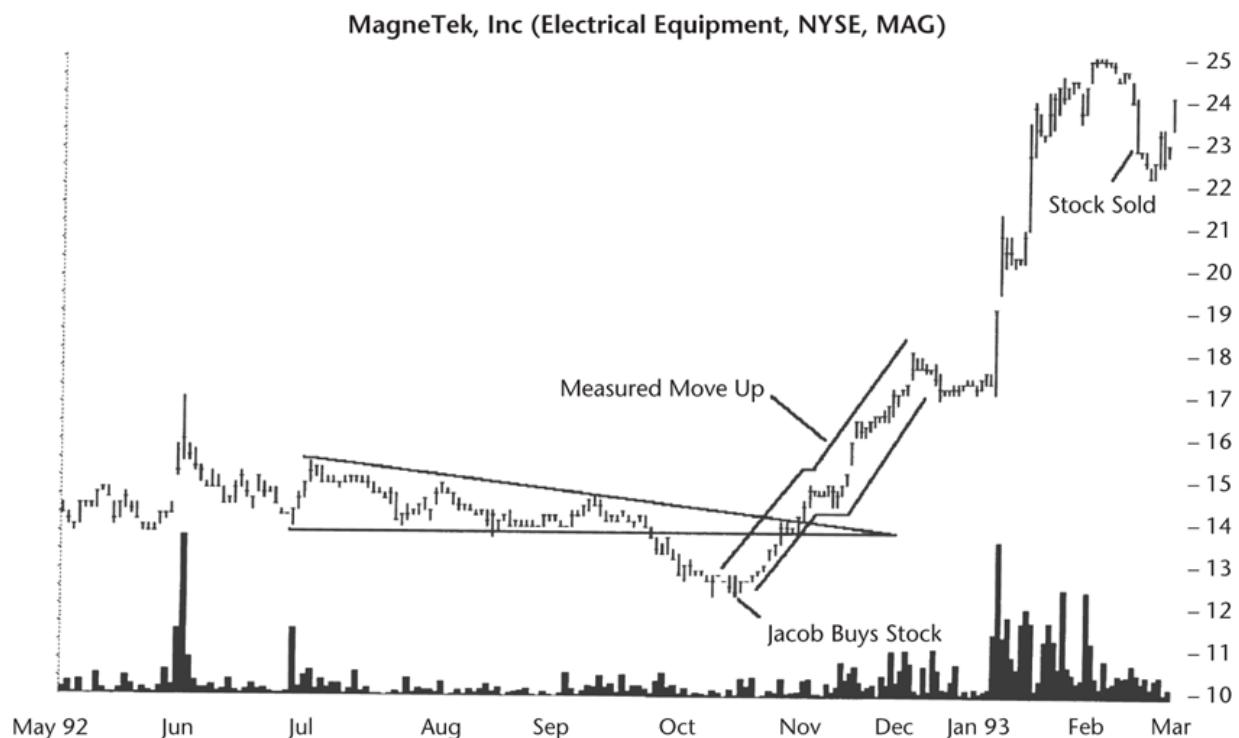


Sample Trade

Jacob is a novice investor. He has an MBA and works in the insurance industry, which has acclimated him to risk. Still, shorting a stock is not his first choice. The stock shown in [Figure 65.6](#) interested him.

A few days before the breakout, he ran through the qualifiers. The volume trend looked good: generally downward as you would expect until a few weeks before the breakout when it deviated from the normal pattern. The number of touches from side to side was good, and the minor highs and lows were distinct. He concluded that this was a valid descending triangle in the making in the making.



[Figure 65.6](#) As described in the Sample Trade, instead of opening a short position, Jacob bought into the stock after the descending triangle reached the measure rule target. He raised his stop as price climbed and was eventually stopped out at 23 for a profit. A measured move up chart pattern helped him gauge the rise.

“I was nervous about shorting the stock because it could turn around and climb away from me,” but a stop placed at the top of the triangle would limit his risk if things did not work out (unless it gapped higher). Still, he